

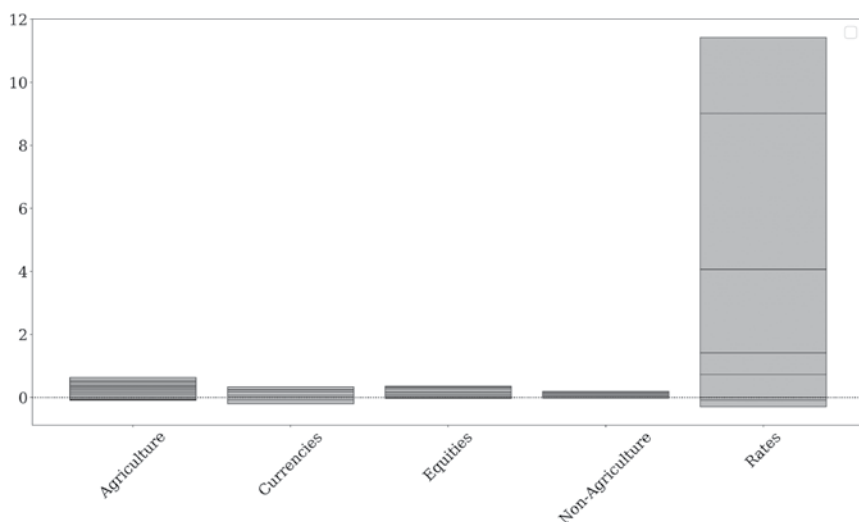


FIGURE 5.11 Portfolio composition: notional weights.

Figure 5.11 will give you quite a distorted view of the actual risk picture. Since each position is sized according to volatility, with the aim of having about the same risk, we could easily make another figure of the same portfolio. In Figure 5.12, each position is shown as an equal size box, reflecting the risk parity position approach. Now you see that the rates sector wasn't the heaviest weighted sector at this time, as the notional approach in Figure 5.11 might have led you to believe. It is rather the agricultural sector which holds the highest risk.

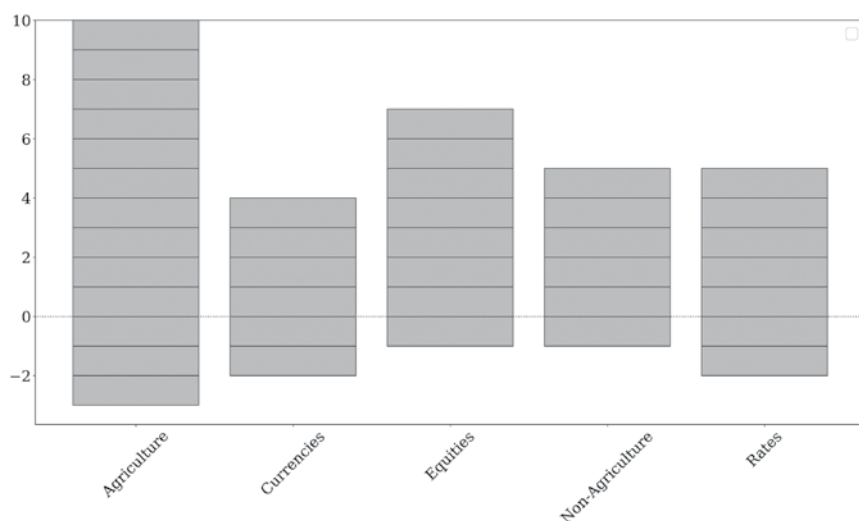


FIGURE 5.12 Portfolio composition: equal weights.